money coming in, do you simply add to all positions at the same ratio, increase selectively, open new positions for that money or leave it in cash? If you are still a fairly small fund and have a large diversified portfolio of futures, you might find yourself having three to four contracts of some futures and if you get subscriptions increasing your assets under management by 15%, you just cannot increase your positions proportionally. The same naturally goes for an equivalent redemption.

If you get 15% new money coming in and you decide it's too little to increase position sizes, you effectively dilute the returns for everyone who has already invested. The correct thing to do is to adjust every single position *pro rata* according to the subscriptions and redemptions coming in, but for a smaller portfolio you will need manual intervention. If you only hold a few contracts of some assets, that is likely to mean that you already have a rounding error in your position size and you could use the subscriptions and redemptions to attempt to balance these rounding errors out. If you have new subscriptions, you could selectively increase the positions where you are slightly underweight due to previous rounding errors and vice versa. Unless you have a large enough capital base, some discretionary decisions will be needed in these cases.

One nice thing about futures strategies compared to other strategies based more on cash instruments, such as equity funds, is that you will always have enough cash on the accounts to pay for normal redemptions. You probably don't need to liquidate anything to meet the payments for clients who want to exit or decrease their stake, as long as the amounts are not too large a part of the total capital base.

Psychological Difference

When you review your simulation data and look at a 15% drawdown, it might not sound so bad but the first time you lose a million pounds, things will feel quite different. The added stress of watching the net asset value of your fund ticking in front of you in real time will further assault your mental health. It takes a tremendous amount of discipline to sit tight and follow a predetermined path of action when a bad day comes along and you see a wildly ticking red number in front of you, losing tens of thousands by the second. Making rash decisions in this situation is rarely a good idea and you need to have a plan in advance for how to react to any given situation. If your simulation tells you that 5% down days are possible but far out on the tail,